

Turbulent markets giving opportunity to Add

CDSL posted a mixed bag with topline slightly below our estimates but profitability heavily impacted due to high employee expenses on account of bonuses.

- **Revenue** from operations came at 1,401.8 Mn (+2.7% QoQ) (+19.5% YoY)
- **EBITDA** came at Rs 755.7 Mn (-16.7% QoQ) (+2.5% YoY)
- **EBITDA Margins** were at 53.9% (Vs 66.4% QoQ) (Vs 62.9% YoY)
- **PAT** came at Rs 576.1 Mn (-26.3% QoQ) (-10% YoY)
- **O. Exp** as percentage to Revenue came at 21.6% (Vs 18.1% QoQ) (Vs 22.4% YoY)
- **Employee cost** as a percentage to Revenue came at 18.5% (Vs 9.6% QoQ) (Vs 10.2% YoY)

Segmental

- Depository Activity EBIT margins stood at 51.5% (Vs 63.2% QoQ) (Vs 63.3% YoY)
- Data entry and storage EBIT margins stood at 51.7% (Vs 67.6% QoQ) (Vs 59.3% YoY)
- Repository EBIT margins stood at -59.5% (Vs -47.2% QoQ) (Vs -141.9% YoY)
- Depository Activity contributes 79.7% to revenue, Data entry and storage contributes 19.7% and Repository activities contribute 0.6%

Key Takeaways of the result:

Profitability was impacted mainly due to bonuses paid off to employees based on last year's performance

Rating	TP (Rs)	Up/Dn (%)
ACCUMULATE	1,295	10

Market data

Current price	Rs	1,174
Market Cap (Rs.Bn)	(Rs Bn)	121
Market Cap (US\$ Mn)	(US\$ Mn)	1,531
Face Value	Rs	10
52 Weeks High/Low	Rs	1734.4 / 1015
Average Daily Volume	('000)	585
BSE Code		
Bloomberg		CDSL.IN
Source: Bloomberg		

One Year Performance

Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	20.00	20.00
Public	80.00	80.00
Total	100	100

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	2,251	3,437	5,513	5,755	6,172
EBITDA	891	2,118	3,669	3,495	3,752
Adjusted net profit	1,067	2,013	3,112	2,733	3,384
Free cash flow	(2,368)	(831)	2,041	2,386	2,432
EPS (Rs)	10.2	19.3	29.8	26.2	32.4
growth (%)	-7%	89%	55%	-12%	24%
P/E (x)	142.1	75.3	48.7	55.5	44.8
P/B (x)	20.9	17.3	13.9	12.6	11.3
EV/EBITDA (x)	170.1	70.8	40.2	41.9	38.6
D/E	-	-	-	-	-
ROCE (%)	10.4	23.9	35.1	28.7	28.6
RoE (%)	15.3	25.1	31.7	23.9	26.7
Dividend yield (%)	0.3	0.3	1.2	1.1	1.3

Source: Company

Source: Company, Dalal & Broacha Research

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Outlook

Tier 2 and 3 participations increased in the previous quarter which was a positive but current quarter saw slowdown in transaction charges and online data charges. Company is confident on the opportunity present for future as current penetration of demat accounts is only at 7%. The slowdown in market conditions and volatility has impacted certain revenues since the base was high. We continue to hold the belief that the moderation in participation will continue as long as we face a bear/stagnant market. We believe the volume participation will be driven by bull market. Thus we believe that the moderation in market activity will stay (drop in transaction charges and online data charges). The highlight of the quarter is the annual issuer charges since the revenues which are accrued for the previous year are billed in the current year. **Plants and Capex:** Company has planned capex worth 125 Crs for the year

Conference Call Key Highlights

Number of active companies stood at 18,798 (Vs 18,268 QoQ) (Vs 16,778 YoY)

Number of BO accounts stood at 68.5 Mn (Vs 63 Mn QoQ) (Vs 39.7 Mn YoY) having 71% market share currently

Value of holdings in custody stood at 34 lakh crores (Vs 37 lakh crores QoQ) (Vs 32 lakh crores YoY)

Break up of income stood as follows:

- Transaction charges stood at 410 Mn (Vs 530 Mn QoQ) (Vs 440 Mn YoY)
- IPO/Corporate Action charges stood at 140 Mn (Vs 80 Mn QoQ) (Vs 80 Mn YoY)
- Annual Issuer charges stood at 450 Mn (Vs 290 Mn QoQ) (Vs 280 Mn YoY)
- Online data charges stood at 230 Mn (Vs 310 Mn QoQ) (Vs 250 Mn YoY)
- Investment income stood at 50 Mn (Vs 100 Mn QoQ) (Vs 110 Mn YoY)
- Other Income stood at 180 Mn (Vs 170 Mn QoQ) (Vs 140 Mn YoY)

Expenses:

Employee expenses were higher than anticipated due to bonuses paid out based on last year's performance. The bonus for current year's performance will be paid at the end of the year.

CDSL Ventures Ltd

- Revenues at 276.7 Mn Vs 281.1 Mn YoY
- Other Income at 2.3 Mn Vs 274 Mn YoY
- PBT 141.7 Mn Vs 188.4 Mn YoY

- 30 Lakh new KYC records created Vs 29.37 Lakhs YoY
- Total KYC records at 4.61 Crs
- Marginal drop in fetching of KYC by 6% due to market conditions
- Fetches for the quarter stood at 16.58 Lakhs Vs 17.65 Lakhs YoY
- RTA space added 30 companies taking total to 870 (mainly unlisted companies only)
- RTAs contribute roughly 10 Mn to revenue annually
- GST filings stood at 55.48 lakhs Vs 44.86 Lakhs YoY

Other KTAs:

- Pricing pressure and competition resulted in less fetches. 80% of CDSL Ventures revenue comes from fetches. Muted volume in overall market for fetching\
- Annual Issuer charges contribution from unlisted companies is roughly 14.7 Mn out of 450 Mn
- Pledge income stood at 34.1 Mn
- Investment income in current quarter close to 47.5 Mn Vs 110 Mn QoQ, loss due to Mark to Market losses
- CDSL currently owns 20% in IFSC which is the only entity in IFSC space due to centralization
- Annual issuer charges revision is still not discussed may get discussed till year end.
- Current employee count at 250 Vs 246 QoQ and 219 YoY

Valuation & Outlook

Company is confident on the opportunity present for future as current penetration of demat accounts is only at 7%. The slowdown in market conditions and volatility has impacted certain revenues since the base was high. We continue to hold the belief that the moderation in participation will continue as long as we face a bear/stagnant market. We believe the volume participation will be driven by bull market. Thus we believe that the moderation in market activity will stay (drop in transaction charges and online data charges).

Tier 2 and 3 participations increased in the previous quarter which was a big positive. Certain different initiatives like IFSC (including bullion and spot coal trading) and Accreditation Agency are yet to start while the Insurance Repository and Commodity Repository businesses will aid disruptive growth going forward (pertaining to certain catalytical changes). Annual Issuer Charges are yet to be revised, which will contribute to incremental income but it is not expected to be revised soon as the company has not yet approached SEBI for revision. We believe there are a lot of triggers yet to play out even though the market linked revenues are facing issues due to high volatility and stagnant/bearish sentiments. Although for the long term, we remain positive on the stock

We had initiated on CDSL on 28th January 2022 with a target multiple of 44x FY24E earnings (a premium of 30% over listed exchanges (BSE, MCX & IEX) because of its annuity-like income and higher share of BO accounts compared to NSDL. **We have reviewed our numbers and expect CDSL to deliver EPS of 26.2 in FY23E and 32.4 in FY24E. We assign ACCUMULATE rating with target price of 1295 (40x FY24EEPS).**

Quarterly Financials

CDSL (consol) Particulars (Rs Mns)	Q1FY23	Q1FY22	YoY Growth	Q4FY22	QoQ Growth
Revenue	1,402	1,173	19.5%	1,366	2.7%
Employee Cost	259	120	116.1%	132	96.8%
Tech Exps	84	53	60.1%	79	6.1%
Other Expenses	303	263	15.2%	248	22.3%
EBIDTA	756	737	2.5%	907	-16.7%
Depreciation	42	16	154.9%	36	15.9%
Interest	0.2	0.0	341.7%	-0.3	-170.7%
Other Income	303	263	15.2%	248	22.3%
PBT (post exceptional)	766	846	-9.5%	981	-22.0%
Tax	190	206	-7.9%	200	-5.1%
Adj. PAT (after minority and excl. exceptional)	578	639	-9.5%	777	-25.6%
Equity	1,045	1,045		1,045	
Face Value	10.00	10.00		10.00	
EPS (on adj)	5.53	6.11	-9.5%	7.43	-25.6%
Tax Rate	23.00%	24.36%		20.37%	
% to Revenue					
Employee Cost	18.48%	10.22%		9.64%	
Tech Exps	6.00%	4.48%		5.80%	
Other Expenses	21.61%	22.43%		18.14%	
EBIDTA Margins	53.91%	62.87%		66.42%	
PAT Margins	41%	54%		57%	
Segmentals Revenue					
Depository Activity	1,118	887	26.03%	1,004	11.3%
Data Entry and Storage	277	281	-1.61%	356	-22.2%
Others	9	5	74.17%	8	3.2%
Inter segmnetal	-1	-0	1316.90%	-2	-57.6%
Total	1,402	1,173		1,366	
Segmentals EBIT Margin					
Depository Activity	51.52%	63.26%		63.19%	
Data Entry and Storage	51.67%	59.33%		67.59%	
Others	-59.52%	-141.93%		-47.19%	

Source: Company, Dalal & Broacha Research

Financial

Profit & Loss A/c

YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	2,251	3,437	5,513	5,755	6,172
<i>Growth %</i>	<i>14.7%</i>	<i>52.7%</i>	<i>60.4%</i>	<i>4.4%</i>	<i>7.2%</i>
Other Operating Income					
Total Revenue	2,251	3,437	5,513	5,755	6,172
<i>Growth %</i>	<i>15%</i>	<i>53%</i>	<i>60%</i>	<i>4%</i>	<i>7%</i>
Less:					
Employee Cost	473	413	506	725	762
Cost of Software developments					
SG&A Expenses & Other	707	809	1,339	1,535	1,658
Total Operating Expenditure	1,180	1,222	1,845	2,260	2,420
EBIDTA	1,071	2,215	3,669	3,495	3,752
<i>Growth %</i>	<i>-4.2%</i>	<i>106.8%</i>	<i>65.6%</i>	<i>-4.7%</i>	<i>7.4%</i>
<i>Growth %</i>	<i>-4%</i>	<i>107%</i>	<i>66%</i>	<i>-5%</i>	<i>7%</i>
Less: Depreciation	117	92	115	178	98
EBIT	954	2,123	3,554	3,317	3,654
<i>Growth %</i>	<i>-6.4%</i>	<i>122.6%</i>	<i>67.4%</i>	<i>-6.7%</i>	<i>10.2%</i>
Interest Paid	0	0	-0	1	1
Non-operating Income	591	569	546	264	749
Profit Before tax	1,545	2,692	4,100	3,580	4,402
Tax	297	583	967	835	1,012
Net Profit before Minority	1,248	2,109	3,132	2,745	3,389
Minority Interest	0	0	6	3	6
Profit/Loss of Associate Company	0	0	-14	-9	0
Net Profit	1,248	2,109	3,125	2,740	3,395
Adjusted Profit	1,067	2,013	3,125	2,740	3,384
<i>Growth %</i>	<i>-7%</i>	<i>89%</i>	<i>55%</i>	<i>-12%</i>	<i>24%</i>
Reported Diluted EPS Rs	10.2	19.3	29.8	26.2	32.4
<i>Growth %</i>	<i>-7.1%</i>	<i>88.6%</i>	<i>54.6%</i>	<i>-12.2%</i>	<i>23.8%</i>
Adjusted Diluted EPS Rs	10.2	19.3	29.9	26.2	32.4

Valuation Ratios

YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	142.1x	75.3x	48.7x	55.5x	44.8x
P/BV (x)	20.9x	17.3x	13.9x	12.6x	11.3x
EV/EBIDTA (x)	170.1x	70.8x	40.2x	41.9x	38.6x
EV/Sales	67.3x	43.6x	26.8x	25.4x	23.5x
Market Cap./ Sales (x)	67.4x	44.1x	27.5x	26.3x	24.6x
Dividend Yield (%)	0.3%	0.3%	1.2%	1.1%	1.3%

Free Cash Flow Statement

YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	891	2,118	3,669	3,495	3,752
FC Investment	48	35	50	50	50
WC Changes	-2,939	-2,353	-638	-265	-280
Depreciation Tax Shield	26	21	27	41	23
Tax Expenses	297	583	967	835	1,012
FCF	-2,368	-831	2,041	2,386	2,432

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	1,045	1,045	1,045	1,045	1,045
Reserves & Surplus	6,195	7,727	9,884	10,973	12,327
Equity	7,240	8,772	10,929	12,018	13,372
Preference Share Capital					
Net Worth	7,240	8,772	10,929	12,018	13,372
Minority Interest	419	428	0	0	0
Net Deferred tax liability/(Asset)	20	23	58	58	58
Total Loans	0	0	0	0	0
Lease Liabilities	39	26	26	26	26
Capital Employed	7,718	9,249	11,013	12,102	13,456
Assets					
Gross Block	951	986	1,036	1,086	1,136
Less: Depreciation	240	305	420	598	696
Net Block	711	681	616	488	440
Capital WIP	0	101	101	101	101
Right of Use Assets	4	3	3	3	3
Investments	2,734	1,665	1,665	1,665	1,665
Intangible Assets	28	178	127	127	127
Others Assets	319	158	254	489	525
Current Assets					
Sundry Debtors	260	237	453	473	507
Current Investments	3,912	5,429	5,429	5,429	5,429
Cash and Bank Balance	541	2,079	4,086	5,266	6,798
Loans and Advances	49	185	110	115	123
Other Current Assets	79	126	193	201	216
Total Current Assets	4,841	8,057	10,271	11,485	13,074
Less: Current Liabilities					
Sundry Creditors	121	127	211	221	237
Provisions	189	184	296	309	331
Other Current Liabilities	606	1,280	1,514	1,724	1,909
Total Current Liabilities	915	1,591	2,021	2,253	2,476
Capital Applied	7,718	9,249	11,013	12,102	13,456

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	1,067.2	2,012.7	3,112.1	2,732.8	3,383.8
(Less)/Add: Extraordinary Income/Exp	0.0	0.0	0.0	0.0	0.0
Less: Non Operating Income	(591.5)	(569.2)	(545.7)	(263.8)	(748.7)
Add: Depreciation	117.3	92.0	114.6	177.7	98.3
Add: Interest Paid	0.3	0.2	(0.2)	0.8	0.8
Tax Adjustment					
Operating Profit before WC Char	593.3	1,535.8	2,680.9	2,647.5	2,734.2
(Inc)/Dec in Current Assets	(2,758.0)	(1,677.0)	(208.0)	(33.2)	(57.1)
Inc/(Dec) in Current Liabilities	181.4	676.0	429.7	232.1	223.2
Net Cash From Operations	(1,983.3)	534.8	2,902.6	2,846.5	2,900.2
CF from Investing Activities					
(Inc)/Dec in Fixed Assets	(48.2)	(34.6)	(50.0)	(50.0)	(50.0)
(Inc)/Dec in Capital Work In Progress	0.0	(100.6)	0.0	0.0	0.0
(Inc)/Dec in Investment (Strategic)	1,978.4	1,068.6	0.0	0.0	0.0
(Inc)/Dec in Investment (Others)	(41.2)	160.1	(95.5)	(235.6)	(35.4)
Add: Non Operating Income	591.5	569.2	545.7	263.8	748.7
(Inc)/Dec in Intangible Assets	(2.1)	(149.8)	50.8	0.0	0.0
Cash From Investing Activities	2,478.3	1,512.9	451.1	(21.8)	663.4
CF from Financing Activities					
Inc/(Dec) in Reserves & Surplus	(4.7)	(10.2)	919.7	0.0	0.0
Inc/(Dec) in Equity					
Dividend Paid	(503.9)	(470.3)	(1,874.8)	(1,643.7)	(2,030.3)
Tax Paid on Dividend					
Other Financing Activities	48.4	(10.8)	35.5	0.0	0.0
Less: Interest Paid	(0.3)	(0.2)	0.2	(0.8)	(0.8)
Adjustments	5.6	9.3	(427.8)	0.0	0.0
Cash from Financing Activities	(454.9)	(482.1)	(1,347.3)	(1,644.6)	(2,031.1)
Net Inc/Dec in cash equivalents	40.1	1,565.6	2,006.4	1,180.1	1,532.5
Opening Balance	555.0	540.7	2,079.5	4,085.8	5,266.0
Closing Cash and Cash Equivalents	595.1	2,106.3	4,085.8	5,266.0	6,798.4

Key Ratios (Consolidated)					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Key Operating Ratios					
EBITDA Margin (%)	39.6%	61.6%	66.5%	60.7%	60.8%
Tax / PBT (%)	22.2%	22.4%	23.6%	23.3%	23.0%
Net Profit Margin (%)	47.4%	58.6%	56.7%	47.6%	54.8%
RoE (%)	15.3%	25.1%	31.7%	23.9%	26.7%
RoCE (%)	10.4%	23.9%	35.1%	28.7%	28.6%
RoA (%)	28.1%	75.0%	117.2%	98.8%	122.6%
Current Ratio (x)	5.3x	5.1x	5.1x	5.1x	5.3x
Dividend Payout (%)	47.2%	23.4%	60.2%	60.1%	60.0%
Book Value Per Share (Rs.)	63.9	69.3	83.9	104.6	115.0
Financial Leverage Ratios					
Interest Coverage (x)					
Growth Indicators %					
Sales Growth (%)	4.6%	14.7%	52.7%	60.4%	4.4%
EBITDA Growth (%)	(1.3%)	(18.2%)	137.8%	73.2%	(4.7%)
Net Profit Growth (%)	10.8%	(7.1%)	88.6%	54.6%	(12.2%)
Diluted EPS Growth (%)	10.8%	(7.1%)	88.6%	54.6%	(12.2%)

Source: Company, Dalal & Broach Research

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